

KEY TERMINOLOGY

ECONOMY



MODULE - 22

- Public Goods
- Private Goods
- Revenue Receipts
- Capital Receipts
- Revenue Expenditure

- Capital Expenditure
- Allocation Function
- Distribution Function
- Stabilization Function

KEY TERMINOLOGY IN ECONOMY

GOODS

PUBLIC GOODS



- The benefits are for all.
- They are not limited.
- They are non-rivalrous.
- They are non-exclusive.

PRIVATE GOODS



- They are rivalrous in nature.
- They are exclusive.
- The persons consumption stands in a rival relationship to the consumption of others.

KEY TERMINOLOGY IN ECONOMY

PUBLIC GOODS



PRIVATE GOODS



KEY TERMINOLOGY IN ECONOMY



PUBLIC GOODS

- ✓ The consumption of such products by several individuals is not rivalrous.
- ✓ A person can enjoy the benefits without reducing their availability to others.
- ✓ They are non-excludable.



PRIVATE GOODS

- ✓ The person's consumption stands in a rival relationship to the consumption of others.
- ✓ In case of private goods, anyone who doesn't pay for the good can be excluded from enjoying its benefits.
- ✓ They are excludable.

KEY TERMINOLOGY IN ECONOMY

RECEIPTS

1

REVENUE



2

CAPITAL



KEY TERMINOLOGY IN ECONOMY

EXPENDITURE

1

REVENUE



2

CAPITAL



KEY TERMINOLOGY IN ECONOMY

RECEIPTS

REVENUE RECEIPTS



Rich person
X

1



2



3



4



ON LEASE



ON RENT



ON RENT



DEPOSIT

KEY TERMINOLOGY IN ECONOMY

RECEIPTS

CAPITAL RECEIPTS



Rich person

X

1



SOLD

2



SOLD

3



SOLD

4



LOAN TAKEN
FROM SBI

KEY TERMINOLOGY IN ECONOMY

EXPENDITURE

REVENUE EXPENDITURE



Rich person
X

1



DAY TO DAY
EXPENDITURE

2



INTEREST
ON LOAN

3



GRANT GIVEN
TO SON-IN-LAW

KEY TERMINOLOGY IN ECONOMY

EXPENDITURE

CAPITAL EXPENDITURE



Rich person
X

1



PURCHASED
LAND

2



PURCHASED
HOUSE

3



PAID BACK THE
LOAN

KEY TERMINOLOGY IN ECONOMY



MINISTRY OF
FINANCE

PRIMARY OBJECTIVES OF FISCAL POLICY

1

GDP GROWTH



2

PRICE STABILITY



KEY TERMINOLOGY IN ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

1. ALLOCATION FUNCTION



2. DISTRIBUTION FUNCTION



3. STABILIZATION FUNCTION



KEY TERMINOLOGY IN ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

1. ALLOCATION FUNCTION



These are public goods, which are distinct from private goods and these cannot be provided through market mechanism and must be provided by the government and this is the allocation function.

KEY TERMINOLOGY IN ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

2. DISTRIBUTION FUNCTION



The government affects personal disposable income of households by making transfer payments and collecting taxes. This can alter the income distribution. This is the distribution function.

KEY TERMINOLOGY IN ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

3. STABILIZATION FUNCTION



UNEMPLOYMENT



INFLATION

The Government has got the responsibility to stabilize the economy as and when the need arises

KEY TERMINOLOGY IN ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

3. STABILIZATION FUNCTION



UNEMPLOYMENT

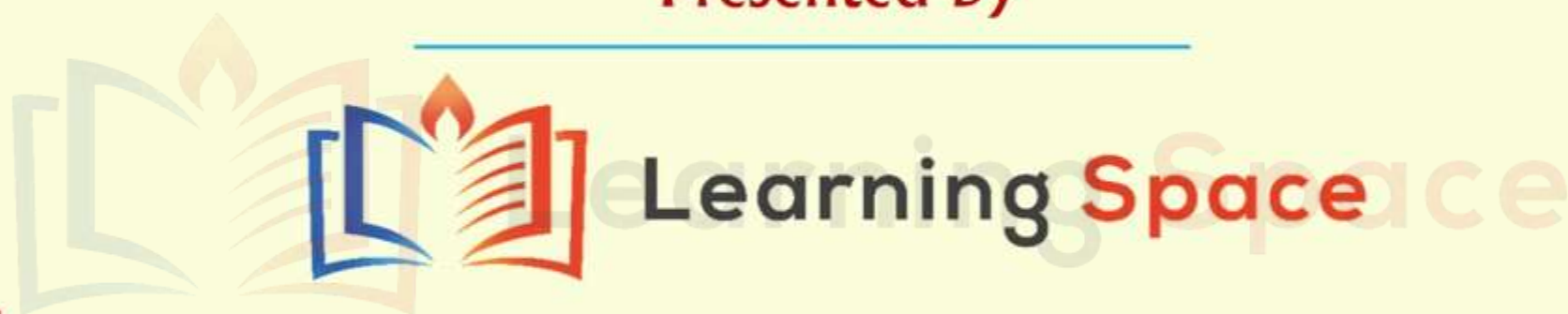


INFLATION

- The overall level of employment and prices in the economy depends upon the level of aggregate demand.
- This is a function of the spending decisions of millions of private economic agents apart from the government.
- The decisions by the private individuals as well as the government depends upon several factors such as income and credit availability.
- At any point of time, the level of expenditure may not be sufficient for full utilisation of labour and other resources of the economy.
- Since wages and prices are generally rigid downwards, employment cannot be restored automatically. Hence, policy measures are needed to raise aggregate demand.
- On the other hand, there may be times, when expenditures exceed the available output under conditions of high employment and may cause inflation.
- So as to take care of both the situations, stabilisation mechanism is required.

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



For Suggestions:
suggestions@learningspace.in

To Contact us:
info@learningspace.in

OUR TEAM

G. V. Rao

D. Sunil Kumar
V. Dayakar James
Y. Sri Poojita

G. Ravi Babu
D. Joji
K. Victor Babu

Visit us at:
www.learningspacedigital.com

0 8 6 6 - 2 4 4 4 7 2
0 9 8 4 9 9 4 2 2 9 9